

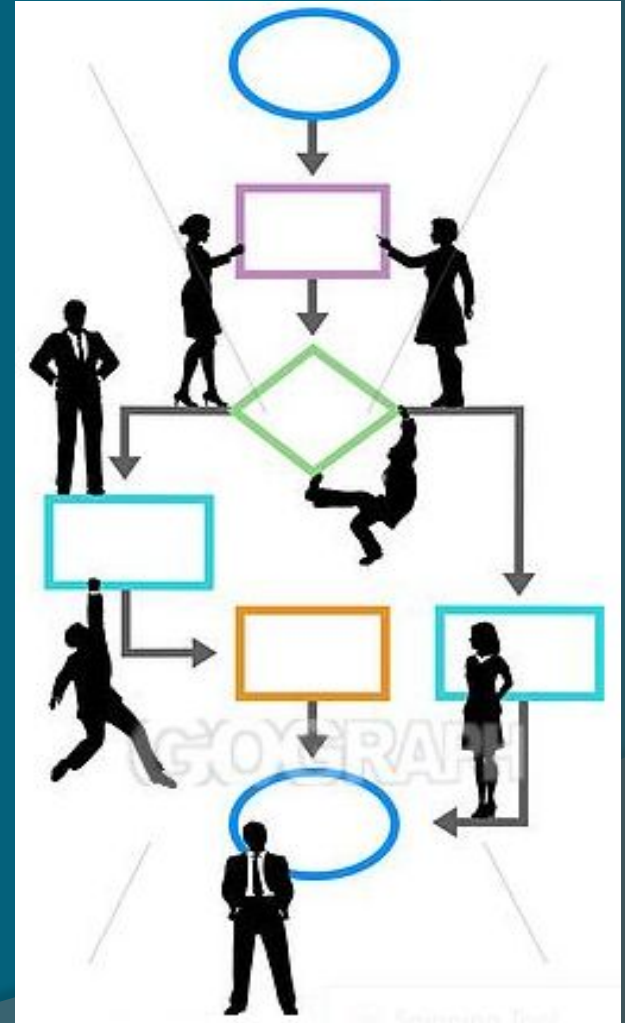
Modeling Business processes (Part 1)

- Defining the scope
- Purpose
- Main types
- Adding values for the customers
- Sequencing

What is Business Process Modeling (BPM)?

Business process modeling (or) *process modeling* is an analytical representation or, to put it another way, an illustration of a company's business processes. Process modeling is an important part of good business process management.

Business Process Modeling is a method of improving an organization's efficiency and quality. The strategy was created for profit-oriented enterprises, but it can be used to any organized activity.



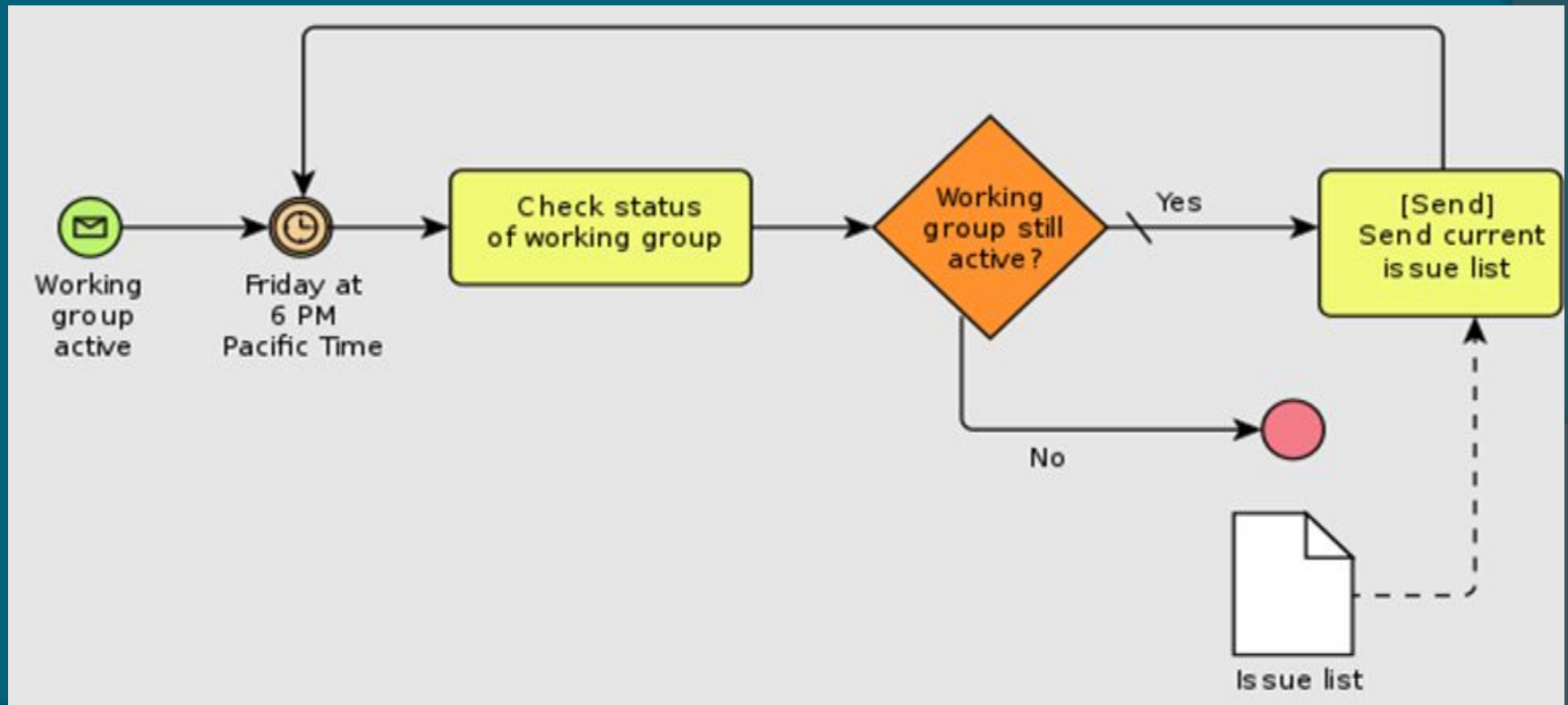
Business Process Modeling seeks to boost corporate performance by making connected operations in the delivery of a product or service more efficient.

Business Process Modeling techniques concern themselves with 'mapping' and 'workflow' in order to facilitate understanding, analysis, and good change. The methodology relies heavily on diagrams, which are effectively "flow diagrams."

A *Business Process Model (BPM)* is a typical diagram that depicts a series of events. It usually depicts (shows) events, actions, and links or connection points in chronological order from beginning to conclusion.

Process modeling software presents an analytical portrayal of an organization's 'as-is' processes and contrasts them with 'to-be' procedures for improving efficiency.

Many business process modeling tools end up producing something like this:



Why Use Business Process Modeling?

Pen and paper are the first tools you'll need to start modeling. However, in order to conduct a business process, you must first digitize it in a way that a workflow engine can comprehend.

Business process modeling software allows you to digitally represent your process before transferring it to a live automated procedure.

Benefits to business process modeling:

- ☐ Gives everyone a clear understanding of how the process works
- ☐ Provides consistency and controls the process

- Identifies and eliminates redundancies and inefficiencies
- Sets a clear starting and ending to the process



Business process modeling can also assist you in grouping together comparable processes and anticipating how they should run. The fundamental goal of business process modeling software is to examine how things are currently done and simulate how they should be done in order to obtain better results.

Purpose

- A Business Process Model diagram is a tool – Not a performance outcome in and of itself, but a means to an aim.
- The final output is the way the business process operates which has been improved.
- The enhancements are focused on 'value added' actions that increase customer service and experience while also cutting down on wasted time and effort.

There are two main different types of Business Process Models:

- the '*as is*' or baseline model (the current situation)
- and the '*to be*' model (the intended new situation)
- ❖ Which are used to investigate, test, implement, and enhance the process. The goal of modelling is to depict a whole process so that managers, consultants, and employees may improve the flow and streamline it.

The outcomes of a business process modelling project are essentially:



- ❑ value for the customer,
- ❑ reduced costs for the company,
- ❑ leading to increased profits
- ❑ increased competitive advantage,
- ❑ market growth, and
- ❑ Better staff morale and retention

Adding Value for the Customer

A Business Process Model is focused on providing value to customers, whether internal or external. It all starts with a client need and concludes with that demand being met. A BPM, in contrast to a process diagram, which is typically focused on departmental activity, spans departments and the entire organization.

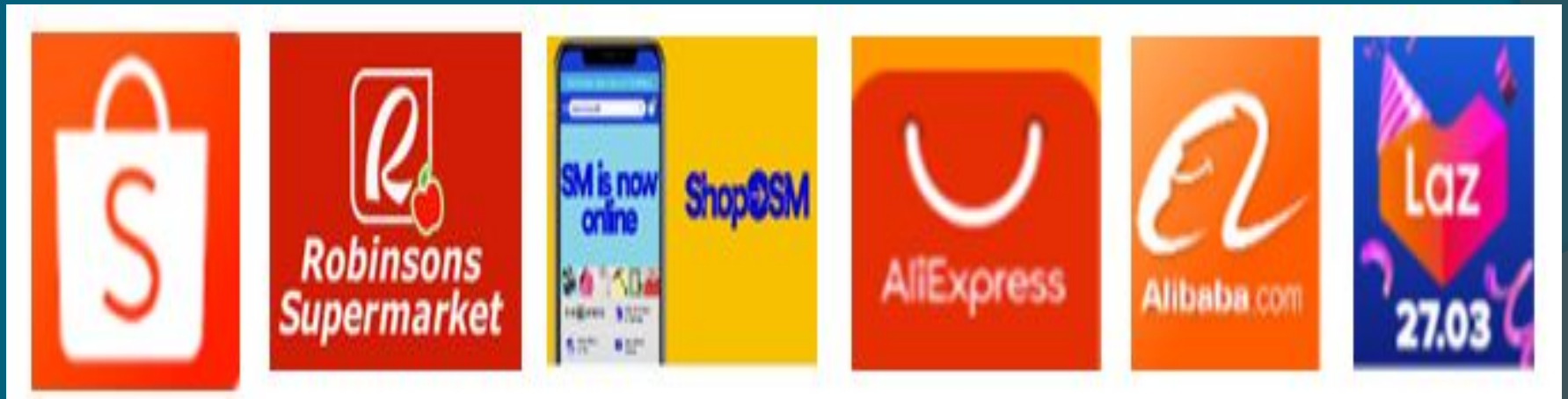
This point about customers being internal as well as external is crucial:

- ✓ Internal customers of modern right-minded organizations include employees.
- ✓ If you approach Business Process Modelling solely from a systems and 'things' perspective, focusing solely on costs and profitability and squeezing every action to its theoretical maximum, people (particularly employees) will be squeezed as well.
- ✓ People like and support the procedures that they are obliged to do in organizations and you can only offer long-term value for your customers if you also add value for your employees.
- ✓ Because it incorporates the magical WIIFM ingredient - 'What's In It For Me,' successful BPM added value for clients is self-sustaining.

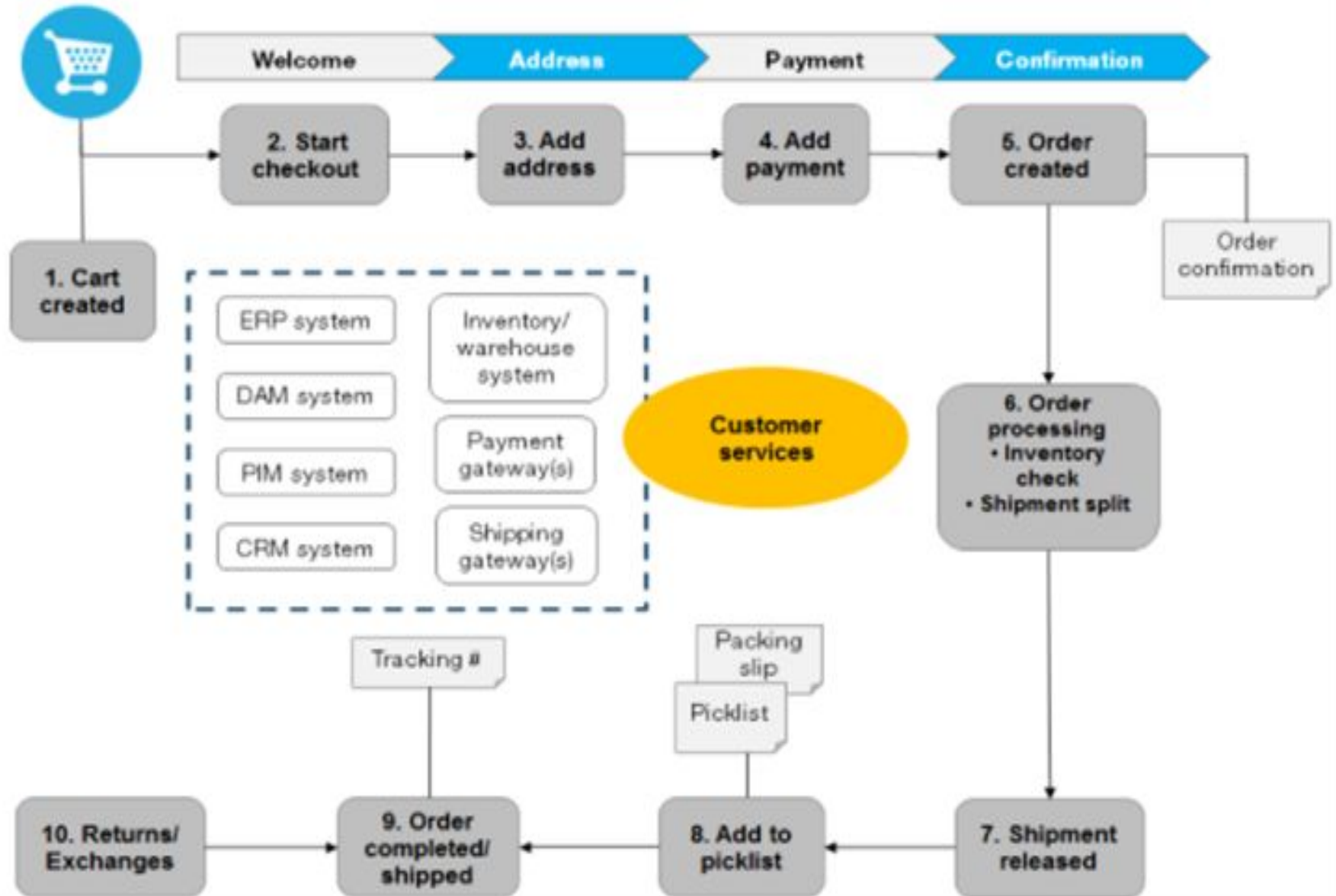
BPM Added Value: Example

An example could be the actions involved in processing a customer order from an internet-based mail order company.

Starting with a customer placing an order (the customer need) send IT-based information to the warehouse:



Shopping flow example



- Stock picking
- Packing and recording
- Sending the appropriate IT-based information to the distribution hub
- Sending IT-based information to the accounts department
- Generation of an invoice
- Allocation and organization of shipment for the vehicle drivers
- Delivery of the item and invoicing (the customer need fulfilled)

This is a basic high-level illustration. In practice, each portion or sub-process (such as stock-picking) may necessitate its own “low-level” BPM.

Sequence: Significance in Business Process Modelling

Sequence can have a big impact on business process activities, but it's not always the case, and in certain cases, it's better to look at things in a non-sequential way. As a general rule, sequence is important for elemental activities, but when previously sequenced processes and resources are combined in a larger picture of organizational operations, sequence becomes less important - and more 'cause and effect' flexibility is required.

Because sequence is fundamental to quality and related factors of process, quality, monitoring, management, and change, etc., this Business Process Modelling summary must focus on modelling systems that may be established using sequence based methodologies. Also, when a large action is broken down into its constituent parts, sequencing can have a significant impact on the performance of each of the separate operations.

When troubleshooting, the importance of sequence cannot be overstated (exaggerated). It can be the key to finding dramatic improvements at any level, but sequence is not a required characteristic, and there is no need to look for and apply sequential conditions at any step of process modelling or any other sort of project or change management if doing so is ineffective.

